UltraTech Cement

1. Capacity

- Total grey cement capacity FY26 :
  - **191.4** mtpa (domestic)
  - **196.8** mtpa (domestic+overseas)
- Split by region
  - North : **37.5** mtpa
  - South : **50.5** mtpa
  - East : **33.3** mtpa
  - West : **34.5** mtpa
  - Central : **35.6** mtpa
- Which region is UltraTech most exposed to? **South (50.5 mtpa)**

2. Capacity utilisation

- FY24: **79.71%** | FY25: **68.18%** | FY26: **75.75%**
- Is it rising or falling, and why? Think new capacity coming online versus demand.

On a year-end basis FY25 looks like a sharp dip (68%), but that is distorted by ~26 mtpa of acquired capacity added late in the year. On an average-capacity basis, utilisation fell from ~84% in FY24 to ~79% in FY25 and ~77% in FY26, as capacity grew faster than volumes.

3. Realisation and EBITDA per tonne

₹/tonne	FY24	FY25	FY26
Realisation	5330	4998	5048
EBITDA	1089	925	1104

Note:

- EBITDA per tonne = Operating EBITDA (₹ cr) * 10/ Consolidated sale volume
  - Operating EBITDA = EBITDA (₹ cr) - Other Income
- Realisation = Revenue from domestic grey cement sales (₹ cr) * 10/ Grey cement volume (mt) (excluding India cements sales)
- Did profitability per tonne improve? Was the cause pricing or costs?

FY25: profitability fell, driven by pricing. Realisation dropped ₹332/t as industry-wide prices fell (~7%) on weak demand and new industry capacity. EBITDA/t fell less (₹164/t) because costs per tonne also fell, mainly fuel. The newly acquired India Cements and Kesoram plants further diluted margins, since they earn less per tonne than UltraTech's own plants.

FY26: profitability recovered, driven mainly by costs. Realisation rose only ₹50/t, but EBITDA/t rose ₹178/t, helped by ₹93/t of efficiency gains (shorter lead distance, more green power, better clinker conversion).

4. Biggest cost items per tonne

Costs (₹/t)	FY24	FY25	FY26
Consolidated sales Volume	119.04	135.83	154.25
Power & fuel	1536	1356	1270
Freight	1334	1285	1243
Raw materials *	1000	1009	1114
Employees	255	265	270
Others	742	752	737
Total	4867	4667	4634

- Cost **(₹/t) =** Consolidated cost *10/ Consolidated sales Volume
- *Raw material = Raw material consumed + Purchase of traded goods + Inventory change
- Which cost is largest, and which is most volatile?

Power and fuel costs are the highest (₹1,270/t, 27% of total) and also the most volatile, falling 17% from ₹1,536/t in FY24, mainly due to cheaper imported coal and petcoke and more green power. This led to a decrease in cost per tonne, but other costs like raw materials (+₹114/t, from input inflation) and employees are increasing. Therefore the largest driver led to a net decrease in cost per tonne of ₹232/t.

5. Capex and growth plan

Capacity (mtpa)	FY25	FY26	FY27	FY28
Domestic	183.4	191.4	207.3	237.1
Overall	188.8	196.8	212.7	242.5

Capex (₹ Cr.)	FY24	FY25	FY26	FY27E
Total	9006	9129	9678	~10000

- How much will volumes grow, and how much will it cost?

Domestic capacity grows 8% in FY27 and 14% in FY28, a 24% increase over two years. But capacity doesn't automatically become volume: industry demand is expected to grow only 7–8% in FY27 and 8–9% in FY28 (ICRA), so UltraTech must gain market share to fill its new plants, especially from FY29.

Capex is about ₹10,000 Cr a year (FY27–29 guidance). The model assumes ~₹600 Cr per mtpa for new capacity; CRISIL's industry estimate is higher at ~₹811 Cr/mtpa (~₹30,000 Cr for ~37 mtpa). UltraTech can afford this: FY26 operating cash flow of ₹15,316 Cr covered capex of ₹9,678 Cr about 1.6×, and net debt/EBITDA fell from 1.47x to 1.04x.

6. Acquisitions

India Cements (bought in three steps)

Step	Stake	Price/Share	₹ Cr
Market purchase, June 2024	22.77%	₹ 268	1891
From Promotors	32.72%	₹ 390	3954
Open Offer	26.00%	₹ 390	3142
Total	81.49%		8988

Note: The promoter stake plus open offer (₹3,954 + ₹3,142 ≈ ₹7,096 Cr) matches the ~₹7,100 Cr deal value reported when UltraTech completed the acquisition. The earlier ₹1,891 Cr market purchase was separate.

Net debt before the deal (India Cements standalone balance sheet, 31 Mar 2024)

₹ Cr	Mar-24 (pre-deal)	Mar-25 (post-takeover)
Long-term borrowings	1,415	1,066
Short-term borrowings	1,186	93
Gross debt	2,601	1,159
Less: cash + current investments	(15)	(76)
Net debt	**2,587**	**1,083**

Debt fell ₹1,450 Cr in FY25, funded by India Cements' own non-core assets: ₹890 Cr of loans recovered, ₹374 Cr of investments sold and ₹501 Cr of assets sold. Adjusted net debt (crediting recovered loans and investments) = 2,587 − 890 − 374 = **₹1,323 Cr**.

Valuation (capacity 14.45 mtpa)

	Blended cost (₹268 + ₹390)	Deal price (₹390)
100% equity value (₹ Cr)	11,028	12,086
EV on headline net debt (₹2,587 Cr)	13,615 → ₹942 Cr/mtpa	14,673 → ₹1,015 Cr/mtpa
EV on adjusted net debt (₹1,323 Cr)	12,351 → ₹855 Cr/mtpa	**13,409 → ₹928 Cr/mtpa**

Main figure: ₹928 Cr/mtpa (deal price, adjusted net debt). Range: ₹855–1,015 Cr/mtpa.

Kesoram (paid in UltraTech shares: 1 for every 52 Kesoram shares)

	₹ Cr
Equity value (59,74,301 UltraTech shares)	5,379
Debt taken over	2,222
Enterprise value	**7,600**
Capacity	10.75 mtpa
₹ Cr per mtpa	**~707**

Note: at closing (Mar 2025), UltraTech's higher share price made the shares worth ~₹6,042 Cr, with debt of ₹2,101 Cr, so EV ≈ ₹8,143 Cr (~₹757 Cr/mtpa). The announcement value is used as the main figure, since that is what the boards agreed.

Benchmarks

Deal	**₹ Cr per mtpa**
India Cements	~928 (range 855–1,015)
Kesoram	~707
UltraTech new-build cost (model assumption)	~600
CRISIL industry estimate	~811
Dalmia – Jaiprakash, 2026 (₹2,850 Cr for 5.2 mtpa, distressed assets)	~548

India Cements performance after takeover

	FY25	**FY26**
Sales volume (mt)	8.98	10.45
Net sales (₹ Cr)	4,080	4,485
Operating EBITDA excl. other income (₹ Cr)	−375	398
EBITDA per tonne (₹/t)	−418	~381
UltraTech EBITDA per tonne (₹/t), for comparison	925	1,104

Other findings

- **Asset revaluation:** In FY25, India Cements revalued its property, plant and equipment up by ₹4,889 Cr (land +₹3,465 Cr, +89%; buildings +225%; plant and machinery +61%). Book equity rose from ₹5,399 Cr to ₹9,623 Cr. A large part of what UltraTech paid for is land, which earns no cement profit.
- **Further investment:** India Cements plans ₹2,014 Cr of capex over two years: ₹440 Cr to expand capacity from 14.75 to 17.55 mtpa, and ₹1,574 Cr to modernise plants. Including this, the true cost is (13,409 + 2,014) ÷ 17.55 = **~₹879 Cr per mtpa**.

So what:

- **Price:** India Cements cost ~₹928 Cr/mtpa, 55% above UltraTech's own ~₹600 Cr/mtpa build cost (a ₹4,739 Cr premium), and above build cost under every assumption tested (5–106%). Kesoram (~₹707 Cr/mtpa) was fairly priced: 18% above UltraTech's cost but 13% below the industry's.
- **Returns today**: at FY26 EBITDA of ₹398 Cr (₹381/t), India Cements earns ~0.5% ROIC on ₹15,423 Cr invested (price plus ₹2,014 Cr planned capex), against an 11.5% cost of capital.
- **Breakeven:** it needs ~₹1,978/t EBITDA to earn its cost of capital, 1.8× UltraTech's own ₹1,104/t.
- **Turnaround scenarios:** bear/base/bull ROIC of 2.2% / 4.5% / 6.0%. Even the bull case (UltraTech-level profitability at 85% utilisation) falls ~₹850 Cr a year short of the cost of capital.
- **Strategic case:** to close the gap through stronger pricing, UltraTech's other South plants would need 8–10% higher prices permanently, which is unlikely with ~100 mtpa of new industry capacity due by FY28.
- **Hidden value:** much of the price bought land (₹3,465 Cr revaluation gain), and selling non-core assets has already cut India Cements' debt by ₹1,450 Cr.
- **Caveats:** the Dalmia–Jaiprakash deal involved distressed assets sold through insolvency, so it isn't like-for-like. Price per tonne ignores plant age, limestone reserves and location. The 11.5% cost of capital is a placeholder until WACC is calculated.
- **Verdict:** UltraTech overpaid for India Cements in financial terms. It bought speed and South market share (now its largest region at 50.5 mtpa), but not enough value to justify the price.